

Business Reports & Essays

Answer Booklet

20-mark questions only: four business reports and eight essays (two per topic), from past HSC and trial papers in your Drive.

SECTION	QUESTIONS			
Part 1 — Business reports	Q1–4	4 questions	80 marks	p. 2
Part 2 — Essays	Q5–12	8 questions	160 marks	p. 12

How to use this booklet

- Question numbers, sources and marks match the Question Booklet exactly.
- ■ **Marking guidelines** – screenshots of the official NESA or school marking guidelines, criteria and sample answers.
- 📄 **Model answer** (yellow box) – written for this booklet wherever the paper had no answer, following the Business Studies structure (define → explain the link → apply to the business/case study).
- Mark yourself against the criteria first, then compare your answer with the sample.

Part 1 — Business reports

Q1 2022 HSC · Question 25

20 marks

■ MARKING GUIDELINES — 2022 HSC

Question 25

Criteria	Marks
- Provides a detailed description of product and branding strategies that the company could use to expand into global markets - Provides detailed reasons in favour of a channel choice for the company - Draws out and relates the implications of global financial management strategies for the company - Applies the information provided, demonstrating extensive knowledge and understanding relevant to the question - Presents a sustained, logical and cohesive business report integrating relevant business terminology and concepts	17–20
- Provides a description of product and branding strategies that the company could use to expand into global markets - Provides some reasons in favour of a channel choice for the company - Makes evident the impact of global financial management strategies for the company - Uses the information provided, demonstrating knowledge and understanding relevant to the question - Presents a logical and cohesive business report using relevant business terminology and concepts	13–16
- Outlines a product and/or branding strategy that the company could use - Provides a description of channel choice for the company - Provides a description of a global financial management strategy/ies - Makes some use of the information provided - Includes features of a business report and uses some business terminology and concepts	9–12
- Outlines a product and/or branding strategy - Outlines a channel choice - Indicates a feature of a financial management strategy - May include some features of a business report and uses some basic business terminology	5–8
- Refers to marketing and/or finance - Uses basic business terminology	1–4

Answers could include:

- Product strategies
 - branding
 - packaging
- Global branding/standardisation
- Channel choice
 - intensive
 - selective
 - exclusive
- Global financial management strategies

- exchange rates
- interest rates
- methods of international payment
- hedging
- derivatives.

📌 MODEL RESPONSE PLAN (WRITTEN FOR THIS BOOKLET)

Model business report (use the SWOT data in every section).

To: Owners, Bee Sticky Pty Ltd **From:** Business Consultant **Re:** Global expansion into Malaysia and the USA

Introduction

Bee Sticky produces high-quality, premium organic honey and is expanding into global markets through leased warehouses in Malaysia and the USA. Its SWOT shows strong product strengths and growing overseas demand, but weaknesses in transportation and foreign payments, plus threats from established competitors and a fluctuating Australian dollar. This report describes branding and product strategies, recommends a channel choice and analyses the global financial management strategies required.

1. Branding and product strategies

- **Global branding** – use one consistent brand name, logo and message in every market, built on its point of difference: *premium organic honey made by bees from Australian flora*, approved for consumption and medical uses. "Clean, green Australian" origin supports premium positioning against established competitors and builds brand recognition cost-effectively.
- **Product strategy – differentiation and packaging** – emphasise quality, organic certification and medical-grade uses. Stronger, protective packaging (e.g. shatter-proof jars, improved cartons) addresses the weakness of *frequent breakage during transportation*. Labels must be customised to meet each country's labelling and language laws.
- **Customisation** where needed – e.g. halal certification for Malaysia, and premium gift or chef ranges to take advantage of the opportunity to collaborate with up-market restaurants and chefs.

2. Recommended channel choice

Selective distribution is recommended: supply a limited number of premium retailers, specialty health and gourmet stores, pharmacies (for the medical-use range) and up-market restaurants, supported by online sales from the leased warehouses. Selective distribution protects the premium image and price (unlike intensive distribution through every supermarket), gives better control over handling (reducing breakage), and still provides enough coverage to grow sales in the expanding overseas market.

3. Global financial management strategies

- **Exchange rates and hedging** – revenue earned in ringgit and US dollars is exposed to *fluctuations in the Australian dollar*. Bee Sticky should use **forward exchange contracts** or **options** to lock in exchange rates on expected receipts, protecting profit margins and making cash flow predictable.
- **Methods of international payment** – to overcome its *lack of experience with foreign payment systems*, it should use **letters of credit** (the importer's bank guarantees payment once shipping documents are presented) or require **payment in advance** from new customers, reducing the risk of non-payment. Clean payment should only be offered to trusted, established buyers.
- **Interest rates and funding** – warehouse leases and working capital for inventory held overseas must be planned with cash flow budgets; if it borrows overseas, it must consider foreign interest rates and currency risk. Together these strategies reduce financial risk and protect liquidity and profitability during expansion.

Recommendations

1. Adopt a global brand positioned on premium Australian organic quality, with improved protective packaging and customised labelling.
2. Use selective distribution through premium retailers, pharmacies, restaurants and online sales.

3. Hedge foreign currency receipts with forward contracts and use letters of credit for new customers.

Conclusion

By leveraging its strengths through global branding and selective distribution, and managing currency and payment risks through hedging and secure payment methods, Bee Sticky can grow profitably in overseas markets.

MODEL RESPONSE PLAN

Business report format: use headings, an introduction and recommendations. Address every bullet point in the question.

To: Directors, Future Century Gaming Pty Ltd **From:** Business Consultant **Re:** Staffing and financing global expansion

Introduction

Future Century Gaming plans to expand into emerging global markets but faces shortages of skilled game designers and developers in Australia. This report outlines the challenges of recruiting and retaining staff (including the global factors of costs, skills and supply), compares debt and equity finance, and recommends a source of finance for the expansion.

1. Challenges in recruiting and retaining staff

- **Skills** – game design and development require highly specialised, current skills. Australian graduates are in short supply, and overseas workers may have different qualifications, languages and work practices, so the business may need training and development to bring skills in line.
- **Supply** – global demand for developers is intense, so competition for talent from larger international studios is strong. Recruiting overseas involves visa and migration requirements and, if staff work remotely, managing time zones and communication.
- **Costs** – labour costs vary between countries; emerging markets may offer lower wages, but recruitment agencies, relocation, visas and higher turnover add costs. Skilled developers in high-demand markets are expensive.
- **Retention** – with strong demand for their skills, employees can easily move. Retention will require competitive monetary rewards (salary, performance bonuses, equity), non-monetary rewards (flexible and remote work, career development) and a positive corporate culture. Cultural differences and legal requirements (employment law in each country) must also be managed.

2. Debt compared with equity finance

- **Debt** (e.g. bank loans, debentures) – ownership and control remain with the current owners, and interest is tax deductible. However, interest and repayments must be met regardless of profit, gearing and financial risk increase, and lenders may require security that a digital business with few physical assets may struggle to provide.
- **Equity** (e.g. private equity, or new shares if it became a public company) – no repayments or interest, so cash flow and liquidity are protected and gearing stays low, which suits an uncertain expansion. However, ownership and control are diluted, investors expect dividends or growth, and raising equity can be slower and more costly.

3. Recommendation

Private equity is recommended. Expansion into emerging markets is high-risk and returns are uncertain in the short term, so avoiding compulsory interest and repayments protects cash flow. A private equity investor with experience in technology or gaming can also contribute expertise and international networks. The business remains a Pty Ltd (avoiding the costs and reporting obligations of listing on the ASX) while gaining the long-term capital needed to fund global recruitment and marketing. Existing owners must accept some loss of control.

Conclusion

By using targeted global recruitment, competitive rewards and development to attract and retain skilled staff, and funding expansion through private equity, Future Century Gaming can manage the risks of entering emerging global markets.

■ MARKING GUIDELINES — NEWINGTON TRIAL 2023

Section III Question 25 – Business Report

Marking Criteria	Mark
▪ Presents a sustained, logical and cohesive business report integrating relevant business terminology and syllabus concepts with skill and understanding AND ▪ Makes effective use of the information provided, demonstrating extensive knowledge and understanding relevant to the question AND ▪ Sketches in general detail ONE advantage and ONE disadvantage of outsourcing aircraft servicing and maintenance AND ▪ Identifies issues and provides points for and/or against raising funds through both debt and equity AND ▪ Provides sound reasons in favour of one source of funding this business could use ▪ Makes evident how and/or why TWO human resource strategy could assist Fly Well Airlines Ltd to address specific management concerns and help achieve a specific form of business success	17-20
▪ Presents a logical and cohesive business report that uses relevant business terminology and syllabus concepts ▪ Makes some use of the information provided, demonstrating knowledge and understanding of the question ▪ Provides accurate information about ONE advantage and ONE disadvantage of outsourcing aircraft servicing and maintenance AND ▪ Provides detailed information about raising funds through both debt and equity and suggests an appropriate source of funding ▪ Provides detailed information about how and/or why TWO human resource strategy could assist Fly Well Airlines	13-16
▪ Includes features of a business report and uses some business terminology and concepts ▪ Makes limited reference to the information provided AND/OR ▪ Makes general statements about outsourcing ▪ Provides some general information about debt and/or equity finance AND/OR ▪ Provides some general information about human resources and/or improving business performance	9-12
▪ Includes some features of a business report and uses basic business terminology ▪ Sketches in general terms some aspects of finance and/or human resources management and/or improving business performance	5-8
▪ Uses basic business terminology ▪ May make a limited statement about finance and/or human resources management and/or improving business performance	1-4

Answers could include:

Advantages of outsourcing aircraft servicing and maintenance:

- Access to specialist knowledge and expertise as the function is their core business.
- May be more efficient.
- Better access to IT, technology and equipment.
- Experience and complex problem solving.
- Lower costs, as the contracted business can achieve economies of scale.
- Increased quality of servicing

Disadvantages of outsourcing aircraft servicing and maintenance:

- Breakdowns in outsourced business could affect the entire operations.
- Loss of control of quality, reliability and potentially costs.
- Possibility that a competitor outsources to the same business, eliminating a competitive advantage.
- Loss of potential jobs within the company

Advantages of debt financing:

- Quick source of funds
- Tax benefits
- Establish and build business credit
- Leverage a small amount of capital to create growth
- Maintains full ownership of company

Disadvantages of debt financing:

- Interest repayments
- Payments must be made regardless of revenues
- Can be risky for businesses with inconsistent cash flow

Advantages of equity financing:

- No interest repayments and no creditor obligations
- Investors have a vested interest in the success of the business

Disadvantages of equity financing:

- Profits must be shared with investors/shareholders
- Less control over the business
- Potential conflict amongst investors

Potential HR strategies the business could use:

- Job design
- Recruitment
- Training and development
- Rewards
- Global strategies
- Dispute resolution
- Link these strategies to indicators of effective HR management

MODEL RESPONSE PLAN (WRITTEN FOR THIS BOOKLET)

Model business report (link every section back to the case information).

To: Management, Fly Well Airlines Ltd **From:** Business Consultant **Re:** Expansion into Asian markets

Introduction

Fly Well is a low-cost domestic airline planning to enter the highly competitive Asian market in 2023. It must fund new computerised ticketing and baggage facilities, is considering outsourcing aircraft servicing and maintenance to a contractor in Singapore (opposed by unionised employees), and wants a sustainable competitive advantage overseas. This report addresses outsourcing, sources of finance and two HR strategies.

1. Outsourcing aircraft servicing and maintenance

- **Advantage – lower costs and specialist expertise.** A Singapore contractor may offer lower labour costs and specialised maintenance facilities, reducing Fly Well's cost base – essential for a low-cost airline competing on price – and allowing management to focus on core operations.
- **Disadvantage – loss of control and industrial action.** Fly Well loses direct control over maintenance quality and safety, a critical risk for an airline's reputation and CASA compliance. The move is also likely to trigger union industrial action, causing flight disruptions, lost revenue and damaged morale.

2. Debt versus equity finance

- **Debt** (e.g. a bank loan or debentures secured against the new facilities): ownership and control are retained and interest is tax deductible, but interest and repayments must be met regardless of performance, increasing gearing and financial risk at a time of uncertain overseas returns.
- **Equity** (e.g. a new share issue or placement to institutional investors): no repayments or interest, so liquidity is protected and gearing stays low, but ownership is diluted, shareholders expect dividends, and issuing shares is costly and time-consuming.
- **Recommendation:** use **long-term debt** matched to the life of the ticketing and baggage facilities, as they are long-term assets that will generate efficiency savings and revenue to service the loan; provided gearing remains close to the industry average. If gearing is already high, a placement of shares to institutional investors should be used instead.

3. Two HR strategies

- **Workplace dispute resolution (negotiation and consultation)** – management should consult unions early, explain the reasons for outsourcing, negotiate outcomes such as redeployment, retraining or fair redundancy packages, and use mediation or the Fair Work Commission if agreement cannot be reached. This reduces the risk of costly industrial action and protects the airline's reputation and on-time performance.
- **Training and development / recruitment for global operations** – train existing staff in the new computerised ticketing and baggage systems and in the cultural and language skills needed for Asian customers, and recruit some local staff in Asian markets. This improves customer service and efficiency, supporting a sustainable competitive advantage.

Recommendations

1. Outsource maintenance only after consulting employees and ensuring the contractor meets strict quality and safety standards, with ongoing audits.
2. Fund the new facilities with long-term debt, monitoring gearing.
3. Implement negotiation-based dispute resolution and targeted training/recruitment strategies.

Conclusion

Carefully managed outsourcing, appropriate long-term finance and effective HR strategies will allow Fly Well to control costs, avoid damaging disputes and build a sustainable competitive advantage in Asia.

■ MARKING GUIDELINES — LORETO TRIAL 2024

Question 25

Criteria	Marks
- Provides a comprehensive outline of how the business could adopt e-marketing and differentiation strategies as part of its marketing plan to improve sales - Provides a comprehensive analysis of operations processes that the business can implement to address goals - Provides a comprehensive recommendation to the business of TWO operations strategies to sustain its competitive advantage - Makes effective use of the information provided, demonstrating extensive knowledge and understanding relevant to the question - Presents a sustained, logical and cohesive business report integrating relevant business terminology and concepts	17 - 20
- Provides a substantial outline of how the business could adopt e-marketing and differentiation strategies as part of its marketing plan to improve sales - Provides a clear analysis of operations processes that the business can implement to address goals - Provides a sound recommendation to the business of TWO operations strategies to sustain its competitive advantage - Makes some use of the information provided, demonstrating some knowledge and understanding relevant to the question - Presents a logical and cohesive business report using relevant business terminology and concepts	13 - 16
- Provides a sound outline of how the business could adopt e-marketing and/ or differentiation strategies as part of its marketing plan to improve sales - Provides sound analysis of operations processes that the business can implement to address goals - Provides a recommendation to the business of TWO operations strategies to sustain its competitive advantage - Includes features of a business report and uses some business terminology and concepts	9 - 12
- Provides some outline of e-marketing and/ or differentiation strategies - Makes a statement about operations processes - Makes a statement about possible operations strategies - Includes some features of a business report and uses basic business terminology	5 - 8
- Makes some referent to marketing and/ or operations - Uses basic business terminology	1 - 4

Answers could include:

- Marketing strategies:
 - market segmentation, **product/service differentiation** and positioning
 - products – goods and/or services
 - Branding
 - Packaging
 - price including pricing methods – cost, market, competition-based
 - pricing strategies – skimming, penetration, loss leaders, price points
 - price and quality interaction
 - Promotion
 - elements of the promotion mix – advertising, personal selling and relationship marketing, sales promotions, publicity and public relations
 - the communication process – opinion leaders, word of mouth
 - place/distribution
 - distribution channels
 - channel choice – intensive, selective, exclusive
 - physical distribution issues – transport, warehousing, inventory
 - people, processes and physical evidence
 - **E-marketing**
 - global marketing
 - global branding
 - Standardisation
 - Customisation
 - global pricing
 - competitive positioning
- Processes:
 - operations processes
 - inputs
 - transformed resources (materials, information, customers)
 - transforming resources (human resources, facilities)
 - transformation processes
 - the influence of volume, variety, variation in demand and visibility (customer contact)
 - sequencing and scheduling – Gantt charts, critical path analysis
 - technology, task design and process layout
 - monitoring, control and improvement
 - Outputs
 - customer service
 - Warranties
- Strategies:
 - performance objectives
 - quality management
 - supply chain management
 - overcoming resistance to change
 - Outsourcing
 - inventory management
 - new product or service design
 - global factors
 - Technology

References & resources

<https://hbr.org/1997/07/discovering-new-points-of-differentiation>
https://www.investopedia.com/terms/p/product_differentiation.asp

Model business report (the school's 4-page exemplar is not reproduced here to keep this booklet short).

To: Owners, Zilor **From:** Business Consultant **Re:** Improving sales and market share through e-bikes and e-scooters

Introduction

Zilor is an innovative Australian bicycle and scooter manufacturer and retailer facing falling sales, rising input costs, limited marketing (radio and print only) and competition from cheap imported electric bikes and scooters. It plans to import parts to manufacture and retail e-bikes and e-scooters. This report outlines e-marketing and differentiation strategies, analyses the operations processes required, and recommends two operations strategies to sustain a competitive advantage.

1. E-marketing and differentiation strategies

- **E-marketing** – move beyond radio and print to a mobile-friendly website with online sales (click-and-collect and home delivery), targeted social media advertising (Instagram, TikTok, YouTube test-ride videos), influencer/opinion-leader partnerships with cycling and commuter influencers, email marketing to past customers, and search-engine marketing. E-marketing reaches younger, urban commuters at lower cost, allows two-way communication and provides data (clicks, conversions) to monitor results against sales objectives.
- **Differentiation** – position Zilor as the premium, innovative, Australian-made alternative to cheap imports: emphasise quality, safety standards, longer battery life, local servicing and longer warranties, and offer customisation (colours, accessories). Physical evidence (showroom test rides) and people (expert staff advice) strengthen the point of difference, supporting a higher price.

2. Operations processes required

- **Inputs** – imported parts (motors, batteries) are new transformed resources, so Zilor must select reliable global suppliers, check quality and manage lead times and exchange rates. Transforming resources – staff must be **retrained** to assemble and service electric products, and facilities may need new equipment.
- **Transformation process** – the move to e-products increases **variety**; demand is likely to show **variation** (seasonal, e.g. summer and Christmas). Zilor must redesign its **process layout**, schedule production (Gantt charts / critical path analysis to coordinate imported parts and assembly), and use **technology** and **monitoring, control and improvement** (quality testing of batteries and electrical safety).
- **Outputs** – high-quality e-bikes supported by excellent **customer service** (online support, servicing) and **warranties** that meet Australian Consumer Law guarantees and exceed competitors' offers.

3. Recommendations – two operations strategies

1. **Quality management (quality assurance and control)** – set standards with suppliers (certification, supplier audits), inspect imported parts on arrival and test finished products. This protects Zilor's reputation for quality and justifies its differentiated, premium position against cheap imports.
2. **Supply chain management – global sourcing and logistics** – source parts from a small number of reliable, cost-effective global suppliers (negotiating bulk prices to reduce rising input costs), use inventory management (e.g. safety stock for critical imported parts, JIT for low-risk items) and hedge currency exposure. This controls costs and ensures dependable, fast delivery. (Alternatives: technology – leading-edge automation; new product design and development.)

Conclusion

By combining e-marketing and differentiation with well-managed operations processes, quality management and efficient global supply chains, Zilor can reverse falling sales, compete against cheap imports and sustain its competitive advantage in the growing electric mobility market.

Part 2 — Essays

■ MARKING GUIDELINES — 2022 HSC

Question 27

Criteria	Marks
- Provides a detailed explanation of why operation processes are important in maintaining a competitive advantage - Integrates relevant case study/studies and contemporary business issues - Presents a sustained, logical and cohesive response and communicates clearly using relevant business terminology and concepts	17–20
- Provides a sound explanation of why operation processes are important in maintaining a competitive advantage - Uses relevant case study/studies and contemporary business issues - Presents a logical and cohesive response using relevant business terminology and concepts	13–16
- Describes why operation processes and/or strategies are important in maintaining a competitive advantage - May make reference to case study/studies and contemporary business issues - Communicates using business terminology and concepts	9–12
- Makes some reference to operations processes and/or strategies and/or competitive advantage - May make limited reference to case study/studies and/or contemporary business issues - Communicates using some business terminology and concepts	5–8
- Makes limited reference to operations - May identify case study/studies - Uses basic business terminology	1–4

Answers could include:

Operations processes

- Inputs
 - Transformed resources (materials, information, customers)
 - Transforming resources (facilities and human resources)
- Transformation processes
 - The influence of volume, variety, variation in demand and visibility (customer contact)
 - Sequencing and scheduling – Gantt charts, critical path analysis
 - Technology, task design and process layout
 - Monitoring, control and improvement
- Outputs
 - Customer service
 - Warranties

A variety of sustained competitive advantage factors could be considered. Examples could include:

- cheaper inputs
- increased volume
- improved cost leadership
- improved good/service differentiation

- economies of scale
- improved technology
- increased quality, speed, dependability, flexibility, customisation
- increased profitability.

📌 MODEL RESPONSE PLAN (WRITTEN FOR THIS BOOKLET)

"Explain" = relate cause and effect. Structure: define each process → explain how it creates cost leadership or differentiation → Qantas evidence.

Introduction

Operations management is the coordination of activities that transform inputs into outputs that satisfy customers. A **competitive advantage** is achieved through **cost leadership** (lowest costs) or **differentiation** (a better or unique product or service). Effective **operations processes** – inputs, the transformation process and outputs – are important because they determine the cost, quality and reliability of what the business delivers, allowing it to maintain its competitive advantage over time, as Qantas shows.

1. Inputs

Inputs are transformed resources (materials, information, customers) and transforming resources (human resources, facilities). Managing the quality and cost of inputs underpins both cost leadership and differentiation. Qantas uses around 5,800 global suppliers to source aircraft, fuel, parts and catering at the best price and quality, and invests in its people through the Pilot and Engineering Academies (~2m training hours in 2023). Fuel-efficient aircraft such as the 787-9 (about 20% less fuel per seat) reduce input costs, while highly trained pilots and crew support its reputation for safety.

2. The transformation process

The transformation process converts inputs into outputs and is shaped by volume, variety, variation in demand and visibility, as well as sequencing and scheduling, technology, task design, layout and monitoring and control. Efficient processes lower costs and improve speed and dependability. Qantas uses technology such as self-service kiosks and its app (cutting check-in times by up to 90%) and real-time aircraft monitoring, schedules a 35-minute turnaround target, and manages variation in demand through its dual-brand strategy (Qantas and Jetstar). These processes achieved 79.4% on-time performance, a key point of differentiation from competitors.

3. Outputs – customer service and warranties

Outputs are judged through customer service and warranties/service guarantees. High-quality outputs build loyalty and allow premium pricing. Qantas' 84% customer satisfaction, 4-star Skytrax rating and ranking as one of the world's safest airlines differentiate it, supported by service guarantees such as compensation for delayed baggage and refunds for cancelled flights.

Conclusion

Operations processes are important to maintaining a competitive advantage because every stage – sourcing inputs, transforming them efficiently and delivering high-quality outputs – determines whether a business can offer lower costs or a superior product. Qantas shows that continuous investment in inputs, technology and service quality is needed to sustain its advantage in a highly competitive global industry.

MODEL RESPONSE PLAN

Written in the structure from your notes: define → link to the operations process → Qantas evidence → judgement.

Introduction

Operations management is the coordination of activities that transform inputs into outputs that satisfy customers, while maximising efficiency and minimising cost to sustain a competitive advantage. **Influences on operations** – globalisation, technology, quality expectations, cost-based competition, government policies, legal regulation, environmental sustainability and corporate social responsibility – affect business success **to a large extent**, because they change the cost and quality of inputs, the efficiency of the transformation process and the standard of outputs. The degree of impact depends on how the business responds with operations strategies, as Qantas demonstrates.

1. Globalisation and cost-based competition → inputs and cost

Globalisation increases access to global suppliers and markets but also exposes businesses to global competitors and price shocks; cost-based competition forces businesses to reduce costs to stay price competitive. About 65% of Qantas' domestic fuel is sourced overseas, and fuel costs reached \$2.55b in the first half of FY24 after rising more than 30% in five months. Qantas also competes with subsidised foreign airlines (about 70% of airlines flying to Australia receive government assistance). It responded by cutting its cost base by around \$5b over five years through restructuring, outsourcing and fuel-efficient aircraft (the 787-9 uses ~20% less fuel per seat). These influences directly affected profitability, but a strong operational response protected Qantas' competitive position.

2. Technology and quality expectations → transformation and outputs

Technology improves the speed, accuracy and efficiency of the transformation process, while customers' quality expectations determine the standard outputs must meet. Qantas increased technology spending from \$258m to \$316m; 240 self-service kiosks and its app cut check-in times by up to 90%, and Internet of Things sensors monitor aircraft health in real time. High quality expectations are met through strict quality management – Qantas is ranked first in the world for safety and holds a 4-star Skytrax rating, with 84% customer satisfaction and 79.4% on-time performance. Meeting these expectations builds loyalty and supports premium pricing, so these influences have a strong positive effect on success when managed well.

3. Government policy, legal regulation, environmental sustainability and CSR → how the process must run

Government policies and legal regulation (CASA safety rules, WHS, the Fair Work Act, consumer law) dictate how the operations process is carried out, while environmental sustainability and CSR push businesses beyond legal compliance. Qantas must complete hundreds of CASA maintenance audits, and the Federal Court ruled its outsourcing of ~1,700 ground-handling jobs breached the Fair Work Act, damaging its reputation. In response to Australia's net-zero-by-2050 policy it created a \$400m climate fund, secured 500 million litres of sustainable aviation fuel from 2028 and cut landfill waste by about 75%. These influences increase short-term costs but protect long-term reputation and social licence to operate.

Conclusion

Influences on operations affect business success to a large extent because they shape every stage of the operations process – inputs, transformation and outputs. However, as Qantas shows, influences are not purely negative: a business that responds with appropriate strategies (global sourcing, technology, quality management, sustainable practices) can turn them into a source of competitive advantage.

MODEL RESPONSE PLAN

Written in the structure from your notes: define → link → Qantas evidence → judgement. Aim for ~4 pages.

Introduction

Marketing is the process of creating, communicating, delivering and exchanging goods and services that satisfy customers, and **business success** is measured through marketing objectives such as market share, sales revenue, brand equity and customer satisfaction. Influences on marketing – **factors influencing customer choice** (psychological, sociocultural, economic, government), **consumer laws** and **ethical influences** – affect business success **to a large extent**, because they determine what customers want and set the boundaries within which strategies operate. However, the extent of their impact ultimately depends on how effectively a business responds, as shown by Qantas.

1. Psychological and sociocultural factors → segmentation, product and promotion

Psychological factors (perception, motives, attitudes, self-image) and sociocultural factors (social class, family roles, reference groups) shape how customers evaluate brands, so they feed directly into market research, segmentation and promotion decisions. When a business understands these factors it can build loyalty and market share. Qantas segments business travellers (motivated by reliability and comfort) from leisure travellers (motivated by price), offering premium cabins and lounges to one and Jetstar to the other. Its Frequent Flyer program (14.7m members) appeals to status and self-image, family check-in and kids' entertainment target family decision-making, and Hugh Jackman as global ambassador acts as a secondary reference group. These responses have supported a net promoter score of 44 (industry average 26) and roughly two-thirds of the domestic market – evidence that customer-choice factors strongly affect success.

2. Economic factors → pricing and the dual-brand strategy

Economic conditions (income, inflation, interest rates, the business cycle) affect customers' ability and willingness to spend, so they directly affect sales revenue. In a downturn customers "trade down", which forces pricing and product responses. During the 2023 cost-of-living crisis and the RBA's rise to a 4.35% cash rate, Qantas' first-half profit fell 13%. It responded by offering around 10 million fares under \$100 and 5 million reward seats, while Jetstar captured price-sensitive travellers. Because the business adapted its price strategy, it protected market share and still grew FY24 revenue 10.7% to \$21.94b – showing economic influences affect success significantly, but a well-prepared business can limit the damage.

3. Consumer laws and ethics → promotion and brand equity

The Australian Consumer Law (enforced by the ACCC) prohibits deceptive and misleading conduct and requires implied conditions and warranties to be honoured; ethical influences require truth, accuracy and good taste in advertising. Breaches damage the most valuable marketing asset – trust. The ACCC found Qantas sold tickets to more than 8,000 already-cancelled "ghost flights", resulting in a \$100m penalty and \$20m in compensation to 86,000 customers. Customer trust fell from 74% to 47% and its reputation score dropped well below its 80/100 peak. Qantas responded with compliance audits, a dedicated consumer-law webpage and service guarantees, and its RepTrak score has since recovered 12 points to 67/100. This is the clearest evidence that influences on marketing can make or break business success.

Conclusion

Influences on marketing affect business success to a large extent. Customer-choice factors determine demand and loyalty, economic conditions shape spending and price, and consumer laws and ethics decide whether a business keeps the trust that brand equity depends on. Qantas shows that success is not determined by the influences alone, but by how well the business researches, anticipates and responds to them through its marketing strategies.

MODEL RESPONSE PLAN

"Analyse" = identify the components and the relationship between them and draw out the implications. Structure: define → link situational analysis to a strategy → Qantas evidence → implication.

Introduction

Situational analysis is the first step of the marketing process. It assesses the business's current position through a **SWOT analysis** (internal strengths and weaknesses; external opportunities and threats) and the **product life cycle** (introduction, growth, maturity, decline). Because it tells the business "where are we now?", it directly shapes the **marketing strategies** – segmentation, positioning and the marketing mix – used to achieve marketing objectives. This essay analyses how SWOT and the product life cycle have affected the marketing strategies of Qantas.

1. Strengths and weaknesses → differentiation, positioning and product/service strategies

Identifying strengths allows a business to build its positioning around them, while identifying weaknesses highlights where the product, service or promotion must improve. Qantas' strengths are its heritage "Spirit of Australia" brand, its safety record and its Frequent Flyer program (14.7m members), so it positions itself as a premium, reliable carrier, promoting safety and loyalty rewards (e.g. Classic Plus Flight Rewards, 20m+ extra reward seats). Its major weakness was reputational damage from the "ghost flights" scandal, with customer trust falling from 74% to 47%. The situational analysis therefore led to strategies focused on service recovery – investment in on-time performance, 200 new contact agents and a \$230m customer experience program – contributing to a 12-point recovery in its RepTrak score to 67/100.

2. Opportunities and threats → segmentation, price and place strategies

External opportunities encourage growth strategies, while threats force defensive strategies, especially in pricing. The cost-of-living crisis and competition from Virgin Australia and subsidised foreign airlines are key threats, so Qantas uses a **dual-brand strategy** – Jetstar targets price-sensitive travellers with penetration-style fares (about 10m fares under \$100 in 2023) while Qantas targets business and premium travellers. Opportunities such as ultra-long-haul demand have led to Project Sunrise (non-stop Sydney–London/New York flights using A350s), and growth in online booking supports e-marketing through the Qantas app. SWOT therefore determines which segments are targeted and how the business competes on price.

3. Product life cycle → the marketing mix at each stage

The PLC stage determines the most appropriate mix. In **introduction**, businesses use informative promotion and skimming or penetration pricing; in **growth**, they expand distribution and build brand preference; in **maturity**, competition is intense so they use extension strategies, loyalty programs and competitive pricing; in **decline**, they reposition, cut costs or withdraw. Qantas' domestic network is in **maturity** – a saturated market with an established competitor – so its strategies focus on retaining customers through loyalty rewards, lounges and service guarantees, and on competitive pricing via Jetstar. New services such as Project Sunrise are at the **introduction** stage, supported by premium pricing and heavy publicity to build awareness.

Conclusion

Situational analysis shapes marketing strategy because it identifies what the business can build on (strengths), must fix (weaknesses), can pursue (opportunities) and must defend against (threats), and because the product life cycle stage determines the most effective product, price, promotion and place decisions. For Qantas, SWOT and PLC analysis have led to a dual-brand, loyalty-focused and service-recovery strategy aimed at protecting its two-thirds domestic market share and rebuilding brand equity.

■ MARKING GUIDELINES — LORETO TRIAL 2024

Question 26

Criteria	Marks
• Makes a detailed and informed judgement about the financial management strategies used to achieve long term objectives of a business • Applies relevant case study/studies and contemporary business issues • Presents a sustained, logical and cohesive response and communicates clearly using relevant business terminology and concepts	17 - 20
• Makes a clear judgement of the relationship between financial management strategies and long term objectives of a business • Uses relevant case study/studies and contemporary business issues • Presents a logical and cohesive response using relevant business terminology and concepts	13 - 16
• Makes some judgement between financial management strategies and long term objectives of a business • Makes reference to case study/studies and/or contemporary business issues • Communicates using relevant business terminology and concepts	9 - 12
• Makes statements or generalised comment(s) about influences on finance strategies and/or long term objectives of a business • Makes limited reference to a case study/ies and or/ contemporary business issues • Communicates using some business terminology and concepts	5 - 8
• Makes limited reference to finance • May identify case study/studies • Uses basic business terminology and/or concepts	1 - 4

Answers could include:

- Objectives of financial management – profitability, growth, efficiency, liquidity, solvency
- cash-flow management
 - cash-flow statements
 - distribution of payments, discounts for early payment, factoring
- Working capital management
 - control of current assets – cash, receivables, inventories
 - control of current liabilities – payables, loans, overdrafts
 - strategies – leasing, sale and lease back
 - distribution of payments, discounts for early payment, factoring
- Profitability management
 - cost controls
 - fixed and variable, cost centres, expense minimisation
 - revenue controls
 - marketing objectives
- Global financial management
 - exchange rates
 - interest rates
 - methods of international payment
 - payment in advance, letter of credit, clean payment, bill of exchange
 - hedging
 - derivatives.

Exemplar response:

Financial management strategies form the cornerstone of a business's long-term success and sustainability. These strategies encompass a range of strategies including cash flow management, working capital and profitability which collectively contribute to the achievement of long-term objectives such as growth, profitability, market expansion, and innovation. The significance of financial management strategies in ensuring that a business like Qantas achieves its long-term objectives cannot be overstressed. These strategies are crucial in steering the organisation towards sustained growth, profitability, and competitiveness in the global market.

Effective cash flow management is vital for the solvency of a business. For Qantas, maintaining a healthy cash flow is necessary to cover daily operational costs, from fuel purchases to staff salaries. By implementing rigorous cash flow forecasting and monitoring, Qantas can make informed decisions about expenditure and investment, ensuring liquidity and the ability to respond to market volatility. For instance, during the COVID-19 pandemic, Qantas's ability to manage its cash flow effectively was instrumental in navigating the sudden drop in demand for air travel.

Working capital—the difference between a company's current assets and current liabilities—is a measure of its operational efficiency and short-term financial health. Qantas employs working capital strategies such as efficient inventory management, ensuring that resources like spare parts for aircraft maintenance are available just in time, thereby reducing holding costs. Moreover, by negotiating favourable credit terms with suppliers and managing receivables efficiently, Qantas can optimise its working capital to sustain operations and invest in growth initiatives.

Profitability is a clear indicator of a company's financial health and its capacity to meet long-term objectives. Qantas's profitability strategies involve route optimization to ensure maximum passenger load, dynamic pricing to capitalise on peak travel times, and continuous service improvements to attract and retain customers. Additionally, diversification into other revenue streams, such as Qantas Freight and Qantas Loyalty, provides financial buffers that contribute to the overall profitability of the company.

In the global landscape, Qantas's financial strategies must account for foreign exchange risks, international economic conditions, and compliance with global financial regulations. Hedging against currency fluctuations is one such strategy that protects Qantas from the volatility inherent in global markets. The strategic acquisition of fuel, often in foreign currencies, is another area where global financial strategies are significant. By securing fuel at favourable rates and times, Qantas can manage one of its most substantial operating costs, directly impacting its long-term financial sustainability.

Through these financial management strategies—each contributing to liquidity, solvency, profitability, and global competitiveness—Qantas is equipped to navigate the complexities of the airline industry and achieve its long-term objectives. These strategies are not just theoretical constructs but are practical necessities, as demonstrated by Qantas's continued resilience in a challenging and ever-changing global market.

■ MARKING GUIDELINES — KNOX TRIAL 2023

Question 26 (20 marks)

Analyse how different sources of finance impact the financial objectives of a business.

Marking criteria	Mark
- Comprehensively details how different sources of finance impact the financial objectives of a business - Applies relevant case study/studies and contemporary business issues - Presents a sustained, logical and cohesive response and communicates clearly using relevant business terminology and concepts	17 - 20
- Details how different sources of finance impact the financial objectives of a business - Uses relevant case study/studies and contemporary business issues - Presents a logical and cohesive response using relevant business terminology and concepts	13 - 16
- Provides characteristics and features on how different sources of finance impact the financial objectives of a business - May refer to case study/studies and contemporary business issues - Communicates using business terminology and concepts	9 - 12
- Sketches in general terms how different sources of finance impact the financial objectives of a business - May refer to case study/studies and contemporary business issues - Communicates using some business terminology and concepts	5 – 8
- Refers to sources of finance impact the financial objectives of a business - May identify case study/studies - Uses basic business terminology	1 - 4

Answers could include:

Sources of finance with explicit linking to profitability, growth, efficiency, liquidity, solvency.

Internal: retained profits

External sources:

Debt

- short term borrowing (overdraft, commercial bills, factoring)
- long term borrowing (mortgage, debentures, unsecured notes)

Equity

- ordinary shares (new issues, rights issues, placements, share purchase plans) private equity

📌 MODEL RESPONSE PLAN (WRITTEN FOR THIS BOOKLET)

"Analyse" = identify components and the relationship between them; draw out the implications. Structure: define source → link to objectives (profitability, growth, efficiency, liquidity, solvency) → Qantas evidence.

Introduction

The objectives of financial management are **profitability, growth, efficiency, liquidity and solvency**, in the short and long term. Businesses finance their activities from **internal sources** (retained profits) and **external sources** – **debt** (short-term: overdrafts, commercial bills, factoring; long-term: mortgages, debentures, unsecured notes,

leasing) and **equity** (ordinary shares, private equity). Each source affects the objectives differently, so choosing and matching the right source to its purpose is central to achieving financial goals, as Qantas demonstrates.

1. Internal finance – retained profits

Retained profits are the cheapest source of finance: there is no interest or dilution of ownership, which supports **profitability** and **solvency**. However, they are limited, and retaining profits reduces dividends. During COVID Qantas made losses of \$1.8b (2021) and \$1.9b (2022), so it had no retained profits to fund its recovery – forcing it to rely on external finance. After returning to profit (\$2.47b in 2023), retained profits helped fund its fleet renewal, supporting **growth** without increasing gearing.

2. Debt finance

Debt allows a business to fund growth while keeping control, and interest is tax deductible; if returns exceed the cost of borrowing it increases **profitability** and return on equity. However, it increases gearing and financial risk (**solvency**), and repayments place pressure on **liquidity**. Qantas secured a \$1.05b loan against aircraft, issued a \$500m unsecured note at 3.15% and \$400m of debentures backed by its 787-9s. This funded survival and growth, but its debt-to-equity ratio rose dramatically (to around 22:1 in 2024) and its current ratio fell to 0.34:1, showing the risk debt poses to solvency and liquidity.

3. Equity finance

Equity (new issues, placements, rights issues, share purchase plans) has no compulsory repayments, protecting **liquidity** and reducing gearing, which improves **solvency**. However, it dilutes ownership and increases shareholders' expectations of returns. In June 2020 Qantas raised \$1.9b through a \$1.4b institutional placement and a \$500m share purchase plan, strengthening its balance sheet when it was losing up to \$40m a week.

4. Matching the source to the purpose

Short-term finance should fund short-term needs (working capital) and long-term finance should fund long-term assets. Qantas funds aircraft with long-term debt secured against those aircraft, while managing day-to-day cash through working capital strategies – an approach that supports **efficiency** and long-term **growth**.

Conclusion

Different sources of finance have a significant and varied impact on financial objectives: retained profits support profitability and solvency but are limited; debt promotes growth and profitability but risks liquidity and solvency; equity protects liquidity and solvency but dilutes ownership. Qantas shows that a balanced mix, matched to the purpose of the funds, is essential to achieving both short-term and long-term financial objectives.

Question 26

Criteria	Marks
- Provides a detailed explanation of the importance to a business of having human resource strategies that reduce workplace disputes and increase worker satisfaction - Integrates relevant case study/studies and contemporary business issues - Presents a sustained, logical and cohesive response and communicates clearly using relevant business terminology and concepts	17–20
- Provides a sound explanation of the importance to a business of having human resource strategies that reduce workplace disputes and increase worker satisfaction - Uses relevant case study/studies and contemporary business issues - Presents a logical and cohesive response using relevant business terminology and concepts	13–16
- Describes the importance to a business of having human resource strategies that reduce workplace disputes and increase worker satisfaction - May make reference to case study/studies and contemporary business issues - Communicates using business terminology and concepts	9–12
- Makes some reference to human resources strategies that are important to levels of disputation and/or worker satisfaction - May make limited reference to case study/studies and/or contemporary business issues - Communicates using some business terminology and concepts	5–8
- Makes limited reference to human resource strategies - May identify case study/studies - Uses basic business terminology	1–4

Answers could include:

Strategies in human resource management

- leadership style
- job design – general or specific tasks
- recruitment – internal or external, general or specific skills
- training and development – current and future skills
- performance management – developmental or administrative
- rewards – monetary and non-monetary, individual or group, performance pay
- global – costs, skills, supply
- workplace disputes – resolution – negotiation, mediation, grievance procedures, involvement of courts and tribunals

📌 MODEL RESPONSE PLAN (WRITTEN FOR THIS BOOKLET)

"Explain" = relate cause and effect; make the relationships between things evident. Structure: define → link strategy to disputes/satisfaction → Qantas evidence → why it matters to the business.

Introduction

Human resource management is the effective management of the formal relationship between the employer and employees. **Workplace disputes** are conflicts between employers and employees (over pay, conditions, job security or management decisions), while **worker satisfaction** is employees' contentment with their role, conditions

and culture – both are key indicators of HR effectiveness. HR strategies such as **rewards**, **leadership style**, **performance management** and **dispute resolution** are important because they reduce the costs of conflict and increase productivity, retention and reputation, as shown by Qantas.

1. Rewards → higher satisfaction and fewer disputes

Monetary rewards (wages, bonuses, shares) and non-monetary rewards (flexible work, recognition, travel benefits) motivate employees and address the most common cause of disputes – pay and conditions. After years of conflict, Qantas allocated \$340m in bonuses to 21,000 employees in 2024 (up to 1,000 shares each plus \$500 travel credits) and a \$5,000 recovery bonus on finalising new enterprise agreements. These rewards helped rebuild trust and reduced voluntary turnover from 10.4% to 8.6%, showing how rewards lift satisfaction and reduce conflict.

2. Leadership style and communication → culture and satisfaction

A participative leadership style that consults employees builds trust and gives staff a voice, preventing grievances from escalating. Under autocratic management Qantas' management/culture rating fell as low as 1.5/5 and 80% of staff reported dissatisfaction; since becoming CEO, Vanessa Hudson has prioritised rebuilding trust with employees, and the 2022 Wellbeing Program saw 80% of employees report improved work–life balance. Better leadership therefore increases worker satisfaction, which improves customer service and productivity.

3. Dispute resolution strategies → reducing the cost of conflict

Negotiation, mediation, grievance procedures and, as a last resort, the Fair Work Commission and courts resolve disputes before they cause lost production. Qantas has 16–18 unions and more than 44 enterprise agreements; the 2011 fleet grounding cost about \$200m, and the Federal Court ruled its outsourcing of around 1,700 ground-handling jobs was unlawful, causing major reputational damage. Qantas now relies more on negotiation of enterprise agreements, and its performance management processes have been credited with cutting disputes by up to 30–50%.

Conclusion

HR strategies that reduce workplace disputes and increase worker satisfaction are important because they protect productivity, lower absenteeism and turnover costs, avoid industrial action and legal penalties, and build a positive culture and reputation. Qantas shows both the high cost of neglecting these strategies and the benefits of investing in rewards, consultative leadership and effective dispute resolution.

MODEL RESPONSE PLAN

"Analyse" = identify the components and the relationship between them and draw out the implications. Structure: define → link strategy to the process → Qantas evidence → implication.

Introduction

Human resource management (HRM) is the effective management of the formal relationship between the employer and employees. **Acquisition** is the process of identifying staffing needs and recruiting, selecting and inducting employees, while **maintenance** involves retaining and supporting employees through rewards, communication, WHS, employment contracts and benefits. HRM strategies – **recruitment, rewards, performance management, leadership style** and **job design** – improve these processes by attracting suitable employees and keeping them satisfied and productive. This essay analyses these links using Qantas.

1. Recruitment → improving acquisition

Recruitment can be internal (promotion or transfer of existing staff – cheaper, faster, motivating) or external (a wider talent pool and new ideas), and can target general or specific skills. Matching the recruitment strategy to the role improves the quality and cost of acquisition. Qantas recruits specific skills across 200+ job categories, using its Pilot Academy (Toowoomba) and graduate program (ranked top 10 among medium employers) as pipelines, and uses external agencies to access broader talent pools and reduce time and cost. Internal promotion is also used – Vanessa Hudson was promoted to CEO. The strength of this strategy is shown by 150,000 applications for 4,700 roles.

2. Rewards → improving maintenance

Rewards can be monetary (pay, bonuses, performance pay, shares) or non-monetary (flexible work, recognition, travel benefits), individual or group. Well-designed rewards increase motivation and job satisfaction, reducing staff turnover and disputes. After the outsourcing scandal damaged trust, Qantas allocated \$340m in bonuses to 21,000 employees (up to 1,000 shares each plus \$500 travel credits) and a \$28m "thank you" bonus for 27,000 staff, with 25% discounts on flights. Voluntary turnover fell from 10.4% (2022) to 8.6% (2023), showing rewards strengthened maintenance.

3. Performance management and leadership style → improving both processes

Developmental performance management provides feedback and training to improve performance, while administrative performance management supports pay and promotion decisions. A participative leadership style increases communication and trust. Qantas' annual reviews (95% completion in 2023, 87% meeting targets), mentoring (1,500 employees) and Wellbeing Program (80% reporting better work-life balance) support maintenance, and they also identify internal candidates for promotion (acquisition). By contrast, the earlier autocratic leadership culture contributed to low management-culture ratings (2.9/5) and strikes, showing that leadership strongly affects retention.

Conclusion

HRM strategies improve acquisition by ensuring the business attracts and selects employees with the right skills at the right cost, and improve maintenance by motivating and retaining those employees. Qantas shows that recruitment pipelines, rewards and developmental performance management can reduce turnover and rebuild culture – but that poor leadership and industrial relations can quickly undermine these processes.